MGT201 - Financial Management (Quiz #01)

Question # 6 of 15 (Start time: 03:06:42 PM, 10 November 2025)

While making an amortization schedule, the amount of interest keeps on decreasing with time because:

Select the correct option

○	Amount of installment considerably vary with time
○	All of the given options are correct
○	Interest rate starts falling with the payment of outstanding loan
●	Outstanding loan amount balance decreases due to principal repayment

MGT201 - Financial Management (Quiz #01)

Question # 5 of 15 (Start time: 03:06:28 PM, 10 November 2025)

Federal Board of Revenue performs all of the following functions, Except:

Select the correct option

○	Acts as appellate tribunal for tax payers
●	Controlling money supply in Pakistan
○	Designing fiscal policy for Pakistan
○	Levy and collection of direct and indirect taxes

MGT201 - Financial Management (Quiz #01)

Question # 4 of 15 (Start time: 03:06:13 PM, 10 November 2025)

The future value of an investment is:

Select the correct option

○	Difference of Interest earned on the present value and present value of an investment
○	Product of Interest earned on the present value and present value of an investment
●	Sum of Interest earned on the present value and present value of an investment
○	None of the given options is correct

MGT201 - Financial Management (Quiz #01)

Question # 15 of 15 (Start time: 03:03:53 PM, 10 November 2025)

In receivable management of a business, a financial manager has to:

Select the correct option

○	Offer cash discounts for early recovery of receivables
○	Extend the credit period to promote sales
○	Design a credit policy by comparing time period of receivables and payables
◉	All of the given options are correct

MGT201 - Financial Management (Quiz #01)

Question # 1 of 15 (Start time: 03:05:34 PM, 10 November 2025)

Issuance of _____ give ownership rights.

Select the correct option

○	Bonds
◉	Common shares
○	All of the given options
○	Debentures

MGT201 - Financial Management (Quiz #01)

Question # 2 of 15 (Start time: 03:05:45 PM, 10 November 2025)

The nominal interest rate is 8% and it is to be applied on semi-annual basis. What will be the equivalent rate of interest?

Select the correct option

○	4.28%
○	3.92%
◉	4%
○	8.32%

MGT201 - Financial Management (Quiz #01) Quiz Start Ti

Question # 14 of 15 (Start time: 03:03:41 PM, 10 November 2025)

The institution which is involved in collecting taxes, making regulations for taxes and charging duties on the behalf of the government of Pakistan is:

Select the correct option

○	Pakistan Stock Exchange
◉	Federal Board of Revenue
○	State Bank of Pakistan
○	Securities and Exchange Commission of Pakistan

Click to Save

MGT201 - Financial Management (Quiz #01) Quiz Start Time: 03:00 PM, 10 November 2025

Question # 13 of 15 (Start time: 03:03:27 PM, 10 November 2025) Total Marks: 1

The installment of Rs. 5,000 is paid at the end of each year for 4 years. What will be the present value given that 5% interest rate is paid annually? PVIFA for this interest rate and time period is 3.546

Select the correct option

Reload Math Equations

- ○ Rs. 70,920
- ○ Rs. 15,530
- ◉ Rs. 17,730
- ○ Rs. 35,460

Click to Save Answer & Move to Next Question

MGT201 - Financial Management (Quiz #01)

Question # 12 of 15 (Start time: 03:03:14 PM, 10 November 2025)

Working capital is the part of company's investment which is made in:

Select the correct option

- ◉ Current assets
- ○ Intangible assets
- ○ Long term assets
- ○ Fixed assets

MGT201 - Financial Management (Quiz #01)

Question # 9 of 15 (Start time: 03:02:28 PM, 10 November 2025)

What will be the effect of increase in compounding period on the present value of a future amount?

Select the correct option

○	The present value will increase
●	The present value will decrease
○	The present value will remain unchanged
○	The present value cannot be determined

MGT201 - Financial Management (Quiz #01)

Question # 10 of 15 (Start time: 03:02:46 PM, 10 November 2025)

The future value of an investment is:

Select the correct option

●	Sum of Interest earned on the present value and present value of an investment
○	None of the given options is correct
○	Product of Interest earned on the present value and present value of an investment
○	Difference of Interest earned on the present value and present value of an investment

MGT201 - Financial Management (Quiz #01) Quiz Start Time: 03:00 PM, 10 November 2025

Question # 11 of 15 (Start time: 03:03:02 PM, 10 November 2025) Total Marks: 1

The environment that facilitates and ensures the efficient flow of finances between the users and providers is known as financial environment.

Select the correct option

Reload Math Equations

- ○ False
- ◉ True

Click to Save Answer & Move to Next Question

MGT201 - Financial Management (Quiz #01)

Question # 8 of 15 (Start time: 03:02:14 PM, 10 November 2025)

Which one of the following factors will change the future value of an investment?

Select the correct option

- ○ Decrease in principal amount
- ○ Increase in time period
- ◉ All of the given options are correct
- ○ Increase in interest rate

MGT201 - Financial Management (Quiz #01)

Question # 7 of 15 (Start time: 03:02:00 PM, 10 November 2025)

The factor that differentiates the net working capital from gross working capital is:

Select the correct option

○	Current assets
○	Cash and cash equivalents
○	Fixed assets
●	Current liabilities

MGT201 - Financial Management (Quiz #01)

Question # 6 of 15 (Start time: 03:01:47 PM, 10 November 2025)

Arranging funds from different available sources for smooth operation of a business is linked with:

Select the correct option

◉	Financing activities
○	Operating activities
○	Investing activities
○	None of the given options is correct

MGT201 - Financial Management (Quiz #01)

Question # 3 of 15 (Start time: 03:00:47 PM, 10 November 2025)

The future value of an investment can be calculated through:

Select the correct option

○	Compound interest only
◉	Both simple and compound interest
○	Neither simple interest nor compound interest
○	Simple interest only

Question # 4 of 15 (Start time: 03:01:05 PM, 10 November 2025)

The formula to calculate present value of perpetuity is:

Select the correct option

○	Present Value = Installment amount – interest rate
◉	Present Value= Installment amount/Interest rate
○	Present Value = Interest rate/installment amount
○	Present Value = Installment amount + interest

MGT201 - Financial Management (Quiz #01)

Question # 5 of 15 (Start time: 03:01:34 PM, 10 November 2025)

_____ are the asset of a company.

Select the correct option

○	Payables
○	Shares
○	Bonds
●	Receivables

MGT201 - Financial Management (Quiz #01)

Question # 2 of 15 (Start time: 03:00:29 PM, 10 November 2025)

The amount of Rs. 40,000 is invested for 4 years at the rate of 10% per year. The amount of simple interest earned after 1 year will be:

Select the correct option

- ○ Rs. 16,000
- ◉ Rs. 4,000
- ○ Rs. 4,400
- ○ Rs. 16,400

Cl

MGT201 - Financial Management (Quiz #01)

Question # 1 of 15 (Start time: 03:00:04 PM, 10 November 2025)

The last cash flow received at maturity needs to be compounded further to get the future value of total cash flow.

Select the correct option

- ◉ False
- ○ True

MGT201 - Financial Management (Quiz #01)

Question # 15 of 15 (Start time: 03:08:48 PM, 10 November 2025)

A series of payments received or paid at the start of each period is called:

Select the correct option

○	Present value of an ordinary annuity
◉	Annuity due
○	Ordinary annuity
○	Deferred annuity

MGT201 - Financial Management (Quiz #01)

Question # 14 of 15 (Start time: 03:08:34 PM, 10 November 2025)

A _____ is created to set aside some amount on regular basis for replacement of assets in future.

Select the correct option

○	Current account
◉	Sinking fund
○	Loan amortization schedule
○	All of the given options are correct

MGT201 - Financial Management (Quiz #01)

Question # 13 of 15 (Start time: 03:08:19 PM, 10 November 2025)

Calculations of gross working capital only consider:

Select the correct option

○	Long term liabilities
○	Long term assets
○	Current liabilities
●	Current assets

MGT201 - Financial Management (Quiz #01)

Question # 12 of 15 (Start time: 03:08:06 PM, 10 November 2025)

With the help of cash budget, a finance manager can estimate:

Select the correct option

○	Cash balance surplus or deficit in the future period
○	Sources of cash inflows and outflows
○	Cash balances at the beginning of a period
◉	All of the given options are correct

Question # 11 of 15 (Start time: 03:07:53 PM, 10 November 2025)

Among various functions performed by Securities and Exchange Commission of Pakistan, one is to supervise the chartered accounts.

Select the correct option

◉	Flase
○	True

Click t

MGT201 - Financial Management (Quiz #01)

Question # 10 of 15 (Start time: 03:07:40 PM, 10 November 2025)

All are external sources of financing EXCEPT:

Select the correct option

○	Debentures
○	Bonds
○	Bank loan
●	Retained earnings

MGT201 - Financial Management (Quiz #01)

Question # 9 of 15 (Start time: 03:07:26 PM, 10 November 2025)

A series of payments received or paid at the end of each period is called:

Select the correct option

○	Annuity due
○	Future value of an annuity
◉	Ordinary annuity
○	Present value of an annuity

Question # 8 of 15 (Start time: 03:07:11 PM, 10 November 2025)

If Rs. 10,000 are paid at the end of each year for 5 years and FVIFA for this period at the rate of 4% is 5.416, the future value of an ordinary annuity will be:

Select the correct option

Reloc

- ○ Rs. 108,320
- ◉ Rs. 54,160
- ○ Rs. 12,166
- ○ Rs. 40,000

Click to Save Answer & Mov

MGT201 - Financial Management (Quiz #01)

Question # 7 of 15 (Start time: 03:06:54 PM, 10 November 2025)

Which of the following claims about equity financing is correct?

Select the correct option

- ○ Dividend rate for both preferred and common shares is same
- ○ Preferred shareholders provide more funds than common shareholders to a business
- ◉ Profit earned by a business is an internal source of equity financing
- ○ Equity financing can only be obtained through external sources of financing